

Solar Industries India Ltd

Concall Tracker — reading the earnings calls to judge the earning trigger & management consistency

Prepared 5 July 2026 | Screener ticker: SOLARINDS | 13 quarterly earnings calls read (Q4 FY23 → Q4 FY26, ~3.25 years)

1. Snapshot

What the business does (in one line): Solar Industries is the world's largest single-site maker of industrial explosives — the blasting materials used to break rock in coal, metal and construction mining — and it has built a fast-growing second engine in **defence** (ammunition, rocket propellants, the Pinaka rocket, loitering "kamikaze" drones and counter-drone systems). It sells across ~30+ countries. It makes money by making explosives and defence products cheaply at scale and selling them to miners, governments and armies at home and abroad.

₹1.68 lakh cr

Market value of the company (all shares × price). A very large company.

₹9,838 cr

FY26 total sales (consolidated). The full-year money it brought in — up ~30% on last year's ₹7,540 cr.

₹1,737 cr

FY26 net profit (consolidated). What it kept after all costs — up ~35% on ₹1,288 cr.

27.95%

FY26 operating margin. Nearly ₹28 of every ₹100 of sales is operating profit — very high for a manufacturer.

43.6% / 33.5%

Return on capital / return on equity. It earns very high returns on the money invested in the business.

~100–137×

Price-to-earnings. The stock is expensive — you pay ~100× (consolidated) to ~137× (standalone) one year's profit.

Important data note — standalone vs consolidated: The numbers Screener.in gives in its downloadable tables are the *standalone* parent company only (FY26 sales ₹5,579 cr, profit ₹1,222 cr). But management runs and reports the business on a *consolidated* basis — the parent plus all the defence and overseas subsidiaries — which is much bigger (FY26 sales ₹9,838 cr, profit ₹1,737 cr). Because the defence and export growth lives in the subsidiaries, **this report uses the consolidated figures management quotes on the calls**. Where you see a bigger revenue number here than on Screener's page, that is why.

2. Concall coverage

Solar holds a proper earnings call every quarter with the same senior team (MD & CEO Manish Nuwal plus the CFOs). Transcripts are freely available on Screener. We read the last **13 distinct quarterly calls**, covering roughly the last 3¼ years, oldest to newest. The latest call (Q4 FY26, held 15 May 2026) was read in full.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q4 FY23	4 May 2023	Yes	Q2 FY25	14 Nov 2024	Yes
Q1 FY24	4 Aug 2023	Yes	Q3 FY25	6 Feb 2025	Yes
Q2 FY24	3 Nov 2023	Yes	Q4 FY25	21 May 2025	Yes
Q3 FY24	8 Feb 2024	Yes	Q1 FY26	8 Aug 2025	Yes
Q4 FY24	17 May 2024	Yes	Q2 FY26	11 Nov 2025	Yes
Q1 FY25	7 Aug 2024	Yes	Q3 FY26	4 Feb 2026	Yes
Q3 FY26 (rev.)	—	n/a	Q4 FY26 ★	15 May 2026	Yes (latest)

Note: a "Sep 2025" file on Screener is only a re-filed, spelling-corrected copy of the Aug 2025 (Q1 FY26) call — same content, so it is not counted as a separate call. Older calls (2018–2022) exist on Screener but the transcript links are dead (return non-PDF pages); they fall outside our 3-year window, so no recent or latest call is missing.

2b. Latest concall highlights — Q4 & full-year FY26 (call held 15 May 2026)

- **Record year, strong finish.** Full-year sales ₹9,838 cr (the total money made — up ~30% on ₹7,540 cr) and net profit ₹1,737 cr (kept after costs — up 35%). The Jan–Mar quarter alone did ₹3,053 cr of sales, the biggest quarter ever.
- **Defence nearly doubled.** Defence sales reached ₹2,634 cr for the year (up 94% from ₹1,355 cr) and crossed ₹1,000 cr in a single quarter for the first time (up 134%). It is now 27% of the whole company.
- **Big new guidance for FY27.** Management is now targeting ₹14,000 cr of sales next year (a ~42% jump), of which defence should cross ₹4,500 cr. They plan to spend ₹2,050 cr on new plants and keep margins near 28%.
- **Order book of ₹21,300 cr.** This is work already won but not yet billed — about 2 years of sales in hand. ₹18,000 cr of it is defence (the biggest single piece is the Pinaka rocket order), giving good visibility.
- **Tone: very confident.** Management called it "landmark performance," raised the dividend to ₹11/share, and said defence and exports (up 32% for the year) will keep driving growth. Note: they deliberately built extra inventory (which tied up ~₹1,600 cr of cash) to protect supply against global tensions — they expect this to unwind over ~2 quarters.

2c. Business mix & capacity

Where the money comes from (FY26 sales mix): Exports / overseas ~39% (the single biggest slice — roughly two of every five rupees of sales come from outside India), Defence ~27% (a mix of Indian armed-forces and export defence orders), and Domestic explosives ~33% (Indian coal & other mining — Coal India, Singareni, private miners, housing/infra). In plain terms: Solar is no longer mainly an "Indian mining explosives" company — exports and defence together are now two-thirds of the business.

Capacity: Management has **stopped giving a single plant-utilisation percentage** (they say they run thousands of products across many plants, so one number is misleading). The last figure they cited was "~90% +" back in FY24. They are actively adding capacity — the big Western India plant is done, new plants at Dhule (Maharashtra) and Dholpur (Rajasthan) are up, and plants in East (Odisha) and South India (Telangana/Andhra) are planned — so capacity is being built ahead of demand, not maxed out. Plain read: there is room to grow output, and more is being added.

3. Earning Trigger thesis

The headline: Solar has two clear, live engines that management points to for growth — **Defence** and **Exports/overseas** — sitting on top of a steady, cash-generating core explosives business. The defence engine is the loud story: it nearly doubled to ₹2,634 cr in FY26, sits on an ₹18,000 cr defence order book (led by the ₹6,084 cr Pinaka rocket order, now finally executing), and management guides it to ₹4,500 cr in FY27. Exports have quietly become the largest single revenue slice (~39%) and grew 32% in FY26. Together they aim to take the whole company from ~₹9,800 cr today to ₹20,000 cr in ~3–4 years. This is a real, concrete, evidence-backed trigger — not a promise on paper.

Trigger	What management said	Evidence so far	Time horizon	Strength
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Defence (ammunition, propellants, Pinaka rocket, drones)	Grow to ₹4,500 cr in FY27, ~₹8,000 cr in 4–5 years; ₹18,000 cr defence order book; Pinaka now executing from Q4 FY26.	Defence sales ₹517 cr (FY24) → ₹1,355 cr (FY25) → ₹2,634 cr (FY26). Growing fast and real, though it has repeatedly come in a bit below the year's own target.	Live now; multi-year	Strong — big order book + proven ramp, but timing/quantum has slipped before.
Exports / overseas (~30 countries, Africa hub)	Grow ~30% again in FY27; ₹3,500–4,000 cr; all overseas units now profitable.	Now ~39% of sales; +32% in FY26; South Africa, Turkey, Nigeria, Ghana all delivering; new plants in Zimbabwe, Kazakhstan, Sierra Leone.	Live now; multi-year	Strong — consistently over-delivered for 3 years.
Core explosives volume (India mining)	~15% volume growth a year; recovery expected as coal demand picks up.	Delivered ~13–27% volumes in good years; weak in FY26 (worst monsoon hit mining) but still grew ~4% in value.	Ongoing	Moderate — steady cash cow, but cyclical and monsoon-sensitive.
New defence products (Bhargavastra counter-drone, 155mm shells, loitering munitions)	Bhargavastra trials to finish in CY2026; 155mm full round in ~3–4 months; multiple products in final development.	Genuine R&D and orders (Nagastra delivered, BrahMos propellant supplied), but the newest products are still pre-order.	1–3 years out	Unproven→Moderate — promising optionality, not yet earning.

4. Management Consistency scorecard

This is the promised-vs-delivered view — did what they said would happen actually happen?

Period / promise	What was promised	What actually happened	Verdict
FY26 total sales	"Cross ₹10,000 cr" (reaffirmed on 4 straight calls)	Came in ₹9,838 cr — about 98% of target, essentially met despite the worst monsoon in years hurting mining.	Delivered
FY26 operating margin	"Around 27%"	Delivered 27.95% — slightly beat, held near 28% all year despite costly raw materials.	Delivered
FY26 defence sales	"Surpass ₹3,000 cr"	Came in ₹2,634 cr — grew a huge 94% but still missed the year's own target by ~12%.	Missed
FY24 defence sales	"Double to ₹800 cr" → trimmed to ₹650 cr through the year	Landed ~₹517 cr — well short; blamed Red Sea shipping delays.	Missed
Pinaka rocket order	"Order imminent / next quarter" — said for ~2 years (FY23–FY25)	Government cleared it in early 2025, ₹6,084 cr order signed, and it finally started executing in Q4 FY26. Late, but real.	Delivered late
Exports growth	~15–20% a year; all overseas units to turn profitable	Over-delivered: +18% (FY25), +32% (FY26); every overseas subsidiary now profitable.	Delivered+

FY26 capex (new plants)	"₹2,500 cr"	Softened mid-year to ~₹2,000 cr (deferred some spend due to monsoon). A guidance walk-back.	Partly
Long-term vision	Double the company to ₹20,000 cr sales by ~FY29	On track so far (₹9,838 cr in FY26; FY27 guided ₹14,000 cr).	Too early

Narrative drift: The overall story has been **remarkably steady for 3+ years** — the same three pillars (defence, exports, ~15% core explosives), the same ₹10,000 cr → ₹20,000 cr roadmap, the same management team. On the big numbers they largely delivered: sales landed within 2% of the ₹10,000 cr target and margins beat guidance. The clear soft spot is **defence**: management repeatedly sets an ambitious yearly defence number and then trims it, and the marquee Pinaka order was "imminent" for nearly two years before it actually flowed. To their credit, they are transparent about the misses (they openly conceded the FY25 topline would fall short) rather than hiding them, and defence still nearly doubled. A milder recent shift: tone in Q&A has become more guarded, and capex guidance was walked back once.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver with hard evidence it is playing out. Defence sales went ₹517 cr → ₹1,355 cr → ₹2,634 cr in three years and sit on an ₹18,000 cr order book with Pinaka now executing; exports are the biggest slice at ~39% and grew 32%. This is not a story on paper — the money is already showing up, and there is a ₹21,300 cr order book (about two years of sales) giving visibility. The only reason to hold back at all is valuation and the fact that some of the growth is still order-book that must be executed — but the trigger itself is real and durable.

Management consistent? → YES (with one honest caveat)

Over 3+ years the story has not drifted, the team has not changed, and on the headline promises they largely delivered: FY26 sales landed within 2% of the long-standing ₹10,000 cr target, margins beat their own ~27% guide, exports over-delivered every year, and the order book exploded. That is a strong, steady record. The honest caveat — and it is not small — is **defence guidance**: management sets an ambitious yearly defence number and then quietly trims it (FY24 and FY26 both missed), and the Pinaka order was "next quarter" for almost two years before it landed. They are transparent about these slips rather than hiding them, and defence still grew ~94% last year, so the direction has always been right even when the exact number lagged. Net: consistent and credible on the big picture — just treat any single-year defence target as optimistic until it is delivered.

Sources: 13 quarterly Solar Industries earnings-call transcripts (Q4 FY23–Q4 FY26) from Screener.in, plus Screener financial data (standalone) reconciled to management's consolidated figures. Prepared 5 July 2026. This is a reading of what management said versus what was delivered; it is not investment advice.